

Central budget encourages indigenous manufacture

In the Central government's budget announced recently, there was no change in the customs and excise duties applicable for electronic components, except for the removal of (a) the special additional duty (SAD) on components used in manufacturing PCs and (b) the customs duty on LCD/LED panels of 48.26cm (19-inch) and below and on cathode ray tubes (CRTs). But to create a level playing field for domestic electronics manufacturers, taxes have been imposed on the import of some telecom and IT products. According to ELCINA president Subhash Goyal, this will encourage the manufacture of telecom products.

With the exemption of colour picture tubes from basic 10 per cent customs duty to make cathode ray TVs cheaper, domestic production of these TVs may grow significantly, giving better opportunity to domestic companies like Videocon, Weston India, Mirc Electronics and Salora International, which manufacture CRT and LCD TVs. The duty concession will also revive manufacturing of TVs in the SME sector.



Finance minister Arun Jaitley on his way to Parliament to present Budget 2014

In Focus

Rakesh Garg is the new DoT secretary

Rakesh Garg has been appointed as the new secretary of the Department of Telecommunications (DoT). He was earlier serving as the principal secretary in Uttar Pradesh. In his Central deputation, Garg served as the additional secretary in the Ministry of Tourism and joint secretary at the Department of Food and Public Distribution.

GE appoints Munesh Makhija as new MD, GE India Technology

Munesh Makhija has been appointed as the managing director of GE India Technology Center and chief technology officer. Effective immediately, he takes over this role from Dr Gopichand Katragadda. Munesh will be based at the John F. Welch Technology Center in Bengaluru and will lead GE's R&D efforts in India.

Manmohan Handa becomes the new director of BEL, Bengaluru

Manmohan Handa has been appointed as the new director of the defence PSU, Bharat Electronics Limited, Bengaluru complex. Prior to this, he was working as the general manager of BEL's missile systems strategic business unit.

Vishal Sikka becomes the new CEO of Infosys

Infosys named Vishal Sikka, a former board member of Germany-based software multinational SAP, as its next managing director and CEO. He is a PhD from Stanford University. He is the first MD and CEO from outside the group of seven founders of Infosys in its 33-year history.

Opening the doors further for foreign investors in the defence sector, the level of foreign direct investment has been raised to 49 per cent from the existing 26 per cent. "Increasing foreign participation but with Indian management control and a thrust to indigenous manufacturing

in the defence sector is sure to have a percolating effect in electronics manufacturing," says T. Vasu, director, Tandon Group.

Electronics sector getting investment proposals

At a time when the Indian government is striving to push electronics manufacturing in the country, here is some encouraging news. The government has received investment proposals of ₹ 800,000 million till the month of June. This includes fresh proposals worth ₹ 50,000, according to the Department of Electronics and Information Technology (DeitY). The total number of investment proposals by the end of June stand at 41.

The government has also provided its consent for setting up of an incubation centre in Delhi, which will work to support the start-ups in the electronics design and manufacturing sector. Software Technology Parks of India (STPI), in collaboration with industry body